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Adoptive expectations: Rising sons in Japanese family firms

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1 Big picture

- **Question.** Why do inherited family firms in postwar Japan not display the poor performance typically associated with dynastic control in other developed economies? Does Japan's practice of adopting adult sons or sons-in-law as heirs solve the family succession problem?
- **Core institutional idea.** Japanese business families can choose heirs more flexibly than business families elsewhere. A family can keep control, yet import managerial talent, by adopting an adult son, an adopted son-in-law, or an unadopted son-in-law.
- **Conceptual contribution.** The paper argues that adult adoption and arranged marriage partly professionalize family control. They let families escape the standard trade-off in Burkart, Panunzi, and Shleifer (2003): keep the amenity value of family control without being forced to hand the firm to the best available blood son.
- **Setting.** The authors assemble an unusually broad panel of Japanese nonfinancial firms listed from 1949 to 1970 and follow them from 1962 to 2000, which makes it possible to study both persistent family control and actual succession events.
- **Main descriptive result.** Family control is much more prevalent in postwar Japan than standard narratives suggest. Heir-run firms are common, and heir-run firms do not underperform on average.
- **Key ranking.** Founder firms perform best. Among heir-run firms, **non-blood heir** firms outperform **blood-heir** firms, while blood-heir firms generally outperform professionally managed family firms ("sarariman" firms) and non-family firms.
- **Succession result.** Around succession events, profitability rises the most after succession to non-blood heirs, rises less after succession to blood heirs, and rises the least when the family keeps its block but hands management to a professional CEO.
- **Mechanism interpretation.** Non-blood heirs can matter through three channels: direct talent selection, tournament incentives for ambitious professional managers, and effort incentives for blood heirs who know they can be displaced.
- **Relation to the Carnegie conjecture.** The evidence weakens the idea that inherited wealth necessarily dulls effort and talent. In Japan, the threat of replacement and the possibility of imported heirs may discipline blood descendants.
- **Takeaway.** Japanese family firms appear exceptional not because inherited control is harmless in general, but because Japan developed institutional mechanisms that let family firms choose heirs more on merit than on blood alone.

2 Data and measurement (key objects)

2.1 Why this setting is useful

- The Japanese setting contains two institutions that are extremely rare in other developed economies: adult adoption for succession and arranged marriages into business families.

- These institutions create economically meaningful variation in the *type* of heir: founder, blood heir, non-blood heir, temporary professional manager, or complete family exit.
- Because the paper tracks a very broad population of listed firms for nearly four decades, it can study both long-run performance differences and shorter-run changes around succession events.

Interpretation. The setting is valuable because it turns a vague idea - “some family firms can import talent” - into an observable governance margin that can be measured and compared in the data.

2.2 Data sources and sample construction

The authors start with the population of 1,433 nonfinancial firms listed on the Tokyo, Nagoya, Fukuoka, and Osaka exchanges from 1949 to 1970. They follow these firms from 1962, when standardized disclosure begins, through 2000 or delisting. Missing ownership, board, or financial data reduce the final sample to:

1,367 firms, roughly 95% of the listed-firm population in this window.

The main data sources are:

- **Development Bank of Japan:** ownership data from 1981 to 2000 and accounting data from 1962 to 2000.
- **Toyo Keizai:** stock prices from 1962 to 2000 and board data from 1989 to 2000.
- **Annual reports and archives:** earlier ownership, board, and financial information.
- **Japanese-language family-history sources:** family trees, biographies, company histories, and newspaper archives used to identify founders, heirs, adoption status, marriages, and board participation.

Interpretation. The paper is unusually data intensive. Its main contribution would be impossible without hand-collected family relationships, which let the authors distinguish blood heirs, adopted sons, adopted sons-in-law, and professional managers.

2.3 How the paper defines family control

The key organizing concept is the **don**. A firm is a don firm if a founding-family member is a top-ten shareholder, CEO (*shacho*), or Chair. If several family members qualify, the don is the senior family decision-maker.

The paper defines the basic partitions as follows:

$$d_{j,t}(\text{don}) = \begin{cases} 1 & \text{if firm } j \text{ has a don in year } t, \\ 0 & \text{otherwise,} \end{cases} \quad d_{j,t}(\text{non-don}) = \begin{cases} 1 & \text{if firm } j \text{ has no don in year } t, \\ 0 & \text{otherwise.} \end{cases}$$

$$d_{j,t}(\text{founder}) = \begin{cases} 1 & \text{if the don is the founder,} \\ 0 & \text{otherwise,} \end{cases} \quad d_{j,t}(\text{family}) = \begin{cases} 1 & \text{if the don is an heir,} \\ 0 & \text{otherwise.} \end{cases}$$

Among family firms, the paper distinguishes three governance types:

$$d_{j,t}(\text{blood heir}) = \begin{cases} 1 & \text{if the don is a biological descendant of the founder,} \\ 0 & \text{otherwise,} \end{cases}$$

$$d_{j,t}(\text{non-blood heir}) = \begin{cases} 1 & \text{if the don is an adopted son or a son-in-law,} \\ 0 & \text{otherwise,} \end{cases} \quad d_{j,t}(\text{sarariman}) = \begin{cases} 1 & \text{if the family} \\ 0 & \text{otherwise.} \end{cases}$$

Important coding details.

- The paper treats adopted sons, adopted sons-in-law, and unadopted sons-in-law as non-blood heirs.
- No daughters appear as ultimate heirs in the data.
- All but two adoptees also marry a daughter of the family.
- Some professional CEOs are clearly temporary placeholders who later step aside for heirs. Those cases are important in the event-study construction and are handled separately in robustness checks.

Interpretation. The central empirical distinction is not simply family versus non-family, but *how* the family chooses succession: founder control, blood inheritance, chosen non-blood inheritance, professionalized family control, or full family exit.

2.4 Performance measures and controls

The paper studies four main outcome variables:

$$\text{ROA}_{j,t} = \frac{\text{Operating income}_{j,t}}{\text{Replacement cost}_{j,t}}, \quad Q_{j,t} = \frac{\text{Market value}_{j,t}}{\text{Replacement cost}_{j,t}}.$$

Here, market value is book debt plus market equity value. Replacement cost adjusts book assets by marking equity cross-holdings and real estate to market.

The paper also examines:

$$\text{SalesGrowth}_{j,t} = \Delta \log(\text{Sales}_{j,t}), \quad \text{LaborGrowth}_{j,t} = \Delta \log(\text{Employment}_{j,t}).$$

Other firm controls include:

- firm size, measured by log replacement cost,
- leverage, measured mainly by long-term debt over replacement cost,
- firm age since incorporation,
- year fixed effects,
- two-digit industry fixed effects.

All main variables are winsorized at 1% in the reported specifications.

Interpretation. The paper does not rely on a single notion of performance. It asks whether family succession affects current profitability, market valuation, sales expansion, and employment growth.

2.5 Succession-event sample

For causality, the paper builds a separate succession-event sample. A succession event is a transfer of control from an old don to one of four outcomes:

- a blood heir,
- a non-blood heir,
- a professional CEO while the family keeps a major block,
- or an outsider after the family cashes out.

The raw succession list contains 915 events. The authors then drop:

- 18 successions to a co-founder,
- 124 cases involving incoming or outgoing placeholder sarariman CEOs,
- 117 events occurring within seven years of a prior succession,
- 231 cases with incomplete family trees.

This yields the final event sample:

425 succession events = 242 blood heirs + 42 non-blood heirs + 81 sarariman + 60 cash-outs.

Interpretation. The event sample is much smaller than the panel, but it is the paper's main device for moving from performance correlation to performance change around actual transfers of control.

2.6 Descriptive facts that matter for interpretation

- In 1962, 37% of firms are don firms and 63% are non-don firms.
- By 2000, don firms still account for 31% of the sample, and family firms remain roughly 30% of listed firms from 1980 onward.
- In 1962, non-blood heirs run 41 firms - roughly 20% of family firms and 4% of the full sample.
- Mean sample ROA is 4.60%, mean Q is 1.40, mean sales growth is 8.02%, and mean employee growth is -0.34%.
- Founder firms are younger and smaller; blood-heir firms are older and larger than founder firms; non-don firms are the largest and most levered group on average.
- Mean CEO tenure is about 30.2 years for founders, 18.7 for blood heirs, 18.4 for non-blood heirs, and only 6.3 for sarariman CEOs.

Interpretation. Two descriptive facts are especially important. First, family control remains economically important in postwar Japan. Second, non-blood heirs look much more like true family rulers than temporary hired managers because their tenure resembles that of blood heirs, not that of professional placeholders.

3 Models and empirical specifications (all equations + interpretation)

3.1 Mechanism and hypotheses

The paper’s logic combines institutional detail with standard family-business theory.

- **Hypothesis 1: talent selection.** Non-blood heirs are drawn from a broader pool than blood heirs. If families select them for ability, non-blood heir firms should outperform blood-heir firms.
- **Hypothesis 2: threat effect.** The option to replace a weak biological son with a non-blood heir may truncate the lower tail of observed blood-heir quality. Blood-heir firms can therefore outperform professionally run family firms even if not every blood heir is exceptionally talented.
- **Hypothesis 3: tournament effect.** The existence of a non-blood-heir “job” may attract stronger professional managers and induce more effort by those working inside family firms.
- **Hypothesis 4: event-study prediction.** If succession type has a causal effect, profitability should improve more after non-blood successions than after blood-heir or sarariman successions.

Interpretation. The non-blood-heir margin is doing two jobs at once: selecting talent directly and reshaping incentives for everyone who might one day run the firm.

3.2 Baseline pooled panel regressions

The main panel specification is:

$$p_{j,t} = \sum_n a_n x_{n,j,t} + \sum_k b_k d_{j,t}(k) + \sum_t c_t d_t + \sum_i d_i d_i + e_{j,t},$$

where:

- $p_{j,t}$ is one of ROA, Q , sales growth, or labor growth,
- $x_{n,j,t}$ includes firm size, leverage, and age,
- $d_{j,t}(k)$ are ownership-control class indicators,
- d_t and d_i are year and industry fixed effects,
- standard errors are clustered by firm.

Coefficient interpretation. Each coefficient b_k compares the performance of one control class to the omitted benchmark, holding constant firm size, leverage, age, industry, and year.

What the estimates show.

- Relative to non-don firms, founder firms earn about **1.163 percentage points** more ROA.
- Relative to non-don firms, blood-heir firms earn about **0.343 percentage points** more ROA.
- Relative to non-don firms, non-blood heir firms earn about **0.904 percentage points** more ROA.
- Relative to blood-heir firms, non-blood heir firms earn about **0.560 percentage points** more ROA.
- Relative to sarariman firms, non-blood heir firms have higher ROA and Q, while blood-heir firms also generally beat sarariman firms on most dimensions.

Interpretation. After basic controls, founder firms remain the strongest performers. But the main cross-sectional result is that the chosen-heir margin matters: non-blood heirs outperform blood heirs, and blood heirs outperform professionally run family firms.

3.3 Event-study specification around successions

The paper then studies within-firm changes around control transfers. The dependent variable is a two-year post-minus-pre change:

$$\Delta p_j = \bar{p}_{j,[+1,+2]} - \bar{p}_{j,[-2,-1]},$$

where the event year is excluded because the exact succession date is not always known. Two-year windows are used because Japanese boards typically renew CEO contracts every two years.

The event-study regression is:

$$\Delta p_j = \sum_n a_n x_{n,j} + \sum_k b_k d_j(k) + \sum_t c_t d_t + \sum_i d_i d_i + e_j.$$

Here:

- $d_j(k)$ identifies the successor type: blood heir, non-blood heir, sarariman, or cash-out,
- $x_{n,j}$ includes lagged performance, an old-don talent proxy, and a retirement-age control,
- standard errors are clustered by firm because some firms experience more than one succession.

The key event dummies are:

$$d_j(\text{blood heir}) = \begin{cases} 1 & \text{if the new don is a blood heir of the old don,} \\ 0 & \text{otherwise,} \end{cases}$$

$$d_j(\text{non-blood heir}) = \begin{cases} 1 & \text{if the new don is an adopted son or son-in-law of the old don,} \\ 0 & \text{otherwise,} \end{cases}$$

$$d_j(\text{sarariman}) = \begin{cases} 1 & \text{if the family retains control but hires a professional CEO,} \\ 0 & \text{otherwise,} \end{cases} \quad d_j(\text{cash out}) = \begin{cases} 1 & \text{if the co} \\ 0 & \text{otherwis} \end{cases}$$

The outgoing don's ability is proxied by a dummy for a degree from an elite merit-based admissions university (Tokyo, Kyoto, Tohoku, Osaka, Kyushu, Hokkaido, Nagoya, or Hitotsubashi). The regression also includes a dummy for the old don being over age 65.

What the event-study shows.

- Relative to non-blood-heir successions, blood-heir successions have **-2.23 percentage points** lower ROA change, and sarariman successions have **-3.01 percentage points** lower ROA change.
- Relative to blood-heir successions, sarariman successions have about **-0.78 percentage points** lower ROA change and a **-0.0732** lower Q change.
- Relative to sarariman successions, full family cash-out raises ROA by about **1.20 percentage points** and Q by about **0.0881**.
- Sales growth is more mixed: sarariman firms can post faster sales growth than blood-heir firms, but without the same profitability gains.

Interpretation. The event design shifts the focus from levels to changes. Non-blood heirs are not merely associated with high-performance firms; successions to non-blood heirs are followed by the largest profitability improvements.

3.4 Why Q responds less than ROA

One subtle result is that Q changes are often weaker than ROA changes around successions.

- Succession plans may be anticipated long before formal transfer.
- Grooming of heirs often begins years before the official event date.
- As a result, stock prices may capitalize expected succession quality before the measured event window.

Interpretation. Weak Q reactions do not contradict the paper. They are consistent with markets learning about likely succession outcomes in advance, while operating performance adjusts more visibly after the transfer is complete.

3.5 Two-stage robustness for successor-type endogeneity

The authors also address the concern that succession type is endogenous. The first stage is a multinomial logit predicting successor type using three instruments:

- existence of a male blood heir,
- existence of a blood relative on the board at the firm's IPO,
- and whether the family had a non-blood leader at some prior time.

The first stage also includes year and industry fixed effects, an old-don-over-65 dummy, and elite-university dummies for the current patriarch and biological son.

In the second stage, the paper substitutes predicted succession probabilities into the event-study regression. The results remain qualitatively similar: non-blood successions still dominate on profitability, and blood-heir successions still generally exceed sarariman successions.

Interpretation. This is not a perfect instrument strategy, but it makes the event-study claims harder to dismiss as pure matching of healthy firms with favored heirs.

4 Identification and instruments (what makes the estimates credible)

4.1 What identifies the baseline panel estimates

The panel regressions identify performance differences across governance types after controlling for:

- firm size,
- leverage,
- firm age,
- year effects,
- industry effects.

Interpretation. The identifying variation is not purely cross-country or purely time-series. It is within Japan, across firms that share the same legal and macro environment but choose different succession arrangements.

4.2 Why panel comparisons are not enough

Pure panel comparisons cannot rule out selection.

- Families may reserve healthier firms for beloved sons.
- Talented or well-trained heirs may sort into firms with better prospects.
- Non-blood heirs may appear in firms whose families are already more meritocratic or more growth-oriented.

Interpretation. Table 5 is informative about broad performance rankings, but not by itself decisive about causality.

4.3 Why the succession-event design is stronger

The event-study design improves on the levels regressions in several ways:

- it compares the same firm before and after control transfer,
- it controls for lagged performance, reducing mean-reversion stories,

- it controls for the old don's age and ability,
- it narrows the comparison to firms facing the same underlying transition problem: who should run the firm next?

Interpretation. The event study does not create random assignment, but it directly asks whether different successor types are followed by systematically different operating outcomes.

4.4 Why non-blood heirs are not just hired managers

A possible alternative explanation is that non-blood heirs are basically professionals given a family label. The paper pushes back using institutional detail:

- non-blood heirs usually marry into the family,
- they take the family name,
- they inherit family authority and blockholding control,
- and their tenure looks like that of blood heirs, not that of professional CEOs.

Mean tenure is about 18.4 years for non-blood heirs and 18.7 years for blood heirs, versus only 6.3 years for sarariman CEOs.

Interpretation. Non-blood heirs are better thought of as *chosen family rulers* than as ordinary hired managers.

4.5 Main limitations

- The paper cannot cleanly decompose the three proposed channels - direct talent selection, tournament incentives, and blood-heir discipline.
- The elite-university degree variable is only a rough proxy for managerial ability.
- Succession timing is imperfectly observed, so event windows are coarse.
- The listed-firm sample excludes smaller private firms, where family governance may work differently.
- External validity is limited because adult adoption at this scale is uniquely Japanese.

Interpretation. The paper is most convincing as evidence that Japan's succession institutions materially change the economics of inherited control. It is less able to say which precise channel does most of the work.

5 Tables and figures

5.1 Figure 1: Typical succession timeline at Suzuki Motor

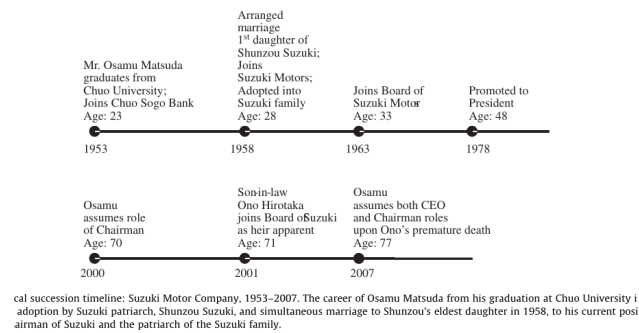


Figure 1: Figure 1: Timeline for Osamu Suzuki's rise from outside manager to adopted heir and eventual family patriarch.

Read:

- Osamu Matsuda graduates from Chuo University in 1953, joins a bank, is adopted into the Suzuki family and marries a daughter in 1958, joins the board in 1963, becomes President in 1978, and becomes Chair in 2000.
- He later designates his own son-in-law as heir apparent, again bypassing a blood son.

Economic message: The figure makes the institutional point concrete. In Japan, adoption is not a symbolic family event; it is a structured succession technology used to import managerial ability into the family line.

5.2 Figure 2: Prevalence of founder and family controlled firms

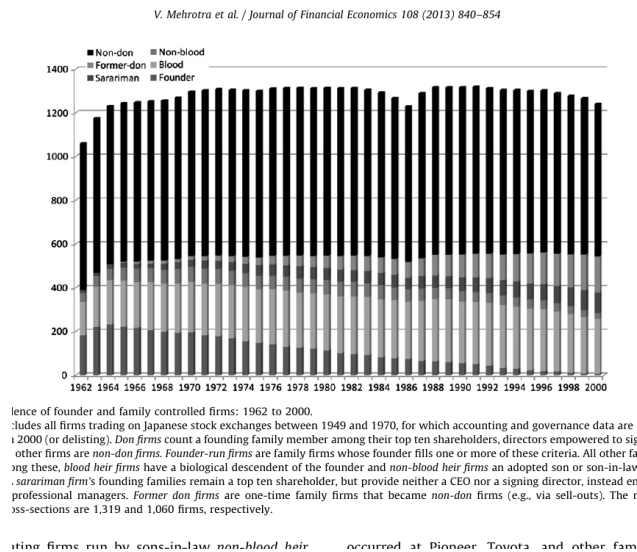


Figure 2: Figure 2: The time path of founder, blood-heir, non-blood-heir, sarariman, former-don, and non-don firms.

Read:

- Don firms account for 37% of the sample in 1962 and 31% in 2000.
- Founder firms fade over time as founders retire or die.
- Heir-run family firms remain economically important throughout the postwar period.
- Non-blood heirs are never the dominant form of family control, but they are persistent and nontrivial.

Economic message: Japan is not a marginal family-firm setting. The family-control margin is large enough that succession type can matter for aggregate corporate governance.

5.3 Table 2: Summary statistics

Table 2

Summary statistics for main variables.

ROA is the ratio of operating income to replacement cost, the last defined as assets adjusted by marking real estate and equity cross-holdings to market. Q-ratio is market value over replacement cost, with market value defined as replacement cost less book value of equity plus market value of equity. Sales and employee growth statistics are based on year-to-year percentage growth. Industry-adjustment is based on subtracting the median value for the matching two-digit Japanese exchange industry code firms, excluding the sample firm. Total assets are in billions of yen; leverage is long-term debt over replacement cost; and firm age is years since incorporation. Total sample size is 49,638 firm-year observations, containing firms listed on Japanese stock exchanges between 1949 and 1970. The data cover fiscal years spanning 1962 through 2000. We winsorize at 1% to attenuate the outlier effects.

	Mean	Median	Maximum	Minimum	Standard deviation
Performance					
ROA (%)	4.60	3.92	30.36	−18.97	4.50
Industry-adjusted ROA (%)	−0.65	−0.94	25.99	−22.83	3.89
Q	1.40	1.28	5.79	0.29	0.42
Industry-adjusted Q (%)	−6.13	−10.31	381.28	−197.74	36.81
Sales growth (%)	8.02	6.15	114.77	−70.28	16.02
Industry-adjusted sales growth (%)	−0.73	−1.26	116.82	−87.61	13.10
Employee growth (%)	−0.34	−0.48	58.98	−65.44	8.12
Industry-adjusted employee growth (%)	−0.61	−0.49	111.17	−90.16	9.03
Other firm characteristics					
Firm size (total assets, ¥B)	189.00	32.40	16100.00	0.17	668.00
Leverage (%)	11.86	9.54	67.02	0.00	10.60
Firm age (years)	44.9	44.0	110.0	4.0	18.3

30% from 1980 on, leaving 69% non-don firms. The fraction of don firms in Japan resembles that of family firms in the US Fortune 500 in Anderson and Reeb (2003), whose definition resembles our don firms. Only 7% of US

Year and two-digit (DB) industry code fixed effects control for sectoral and macro factors. Controls for firm age (years since first incorporated) and size (log replacement cost) reflect larger and older firms' sparser growth

Figure 3: Table 2: Summary statistics for performance, size, leverage, and age.

Read:

- Mean ROA is 4.60%, mean Q is 1.40, mean sales growth is 8.02%, and mean employee growth is −0.34%.
- Mean leverage is 11.86%, and the average firm age is roughly 45 years.
- The firms are mature and heterogeneous, with very large dispersion in size and valuation.

Economic message: The event-study coefficients are economically meaningful relative to baseline profitability. A 1–3 percentage point shift in ROA is large in a sample whose mean ROA is only 4.60%.

5.4 Table 3: Firm performance and characteristics by control type

Table 3

Firm performance and characteristics.

Don firms' founders' families are either a top ten equity blockholder, or serve as President or Chairman. Founder firms are don firms by dint of their founders' equity block or top management position. Family firms are don firms by dint of the equity block or management position of a member of their founding family other than the founder. In blood-heir firms, this is a biological descendant of the founder; in non-blood heir firms, this is an adopted son or son-in-law. Data and other variables are as defined in Table 2.

	Founder firms	All	Don firms			
			Family firms			
			Blood heirs	Non-blood heirs	Sarariman	Non-don firms
Performance						
ROA (%)	7.12	4.64	4.37	5.81	3.75	4.24
Industry-adjusted ROA (%)	0.68	−0.46	−0.49	0.21	−1.03	−0.91
Q	1.45	1.43	1.43	1.46	1.40	1.37
Industry-adjusted Q (%)	4.29	−3.22	−2.76	1.30	−10.25	−8.93
Sales growth (%)	14.73	7.62	7.69	9.64	5.55	7.28
Industry-adjusted sales growth (%)	1.82	−0.75	−0.69	−0.35	−1.47	−1.06
Employee growth (%)	2.42	−0.24	−0.14	0.32	−1.30	−0.75
Industry-adjusted employee growth (%)	1.05	−0.60	−0.48	−0.45	−1.34	−0.84
Other firm characteristics						
Firm size (total assets, ¥B)	58.2	120.4	113.7	164.9	106.1	237.3
Leverage (%)	10.40	9.47	9.44	9.46	9.61	13.11
Firm age	29.2	45.5	46.1	43.5	45.2	46.7
Family ownership (%)	16.3	12.6	13.1	15.6	7.4	0.0
Firm-year observations	4,278	13,876	9,736	2,117	2,023	31,484

(1–7) with $k \in$ {founder, blood heir, non-blood heir, sarariman, non-don}, k and k size and industry fixed effects

Table 4

Performance regressions: founder, family, and other firms

Figure 4: Table 3: Unadjusted performance and firm characteristics across founder, blood-heir, non-blood-heir, sarariman, and non-don firms.

Read:

- Founder firms have the highest average ROA (7.12%) and the highest average Q (1.45).
- Non-blood heir firms have higher ROA (5.81%) than blood-heir firms (4.57%), sarariman firms (3.75%), and non-don firms (4.24%).
- Non-blood heir firms also have higher average family ownership (15.6%) than blood-heir firms (13.1%) and far higher than sarariman firms (7.4%).

Economic message: Even before controls, non-blood heirs look like high-performing family rulers, not weak compromise choices.

5.5 Table 5: Regression summary across control classes

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Table 5
Performance and family control, regressions summary.

Variables are defined in Tables 2 and 3. Regressions are on firm-level panel data from 1962 through 2000, and include the control variables listed in Table 4. Total observations equal 47,102 for Q-regressions and 49,638 firm-years for all others. p-Values are provided in parentheses below the coefficient estimates. Bold-face represents significance at better than 5%.

Benchmark	Premium for	ROA (%)	Q	Sales growth (%)	Labor growth (%)
Non-don firms	Don firms	0.557 (0.00)	0.065 (0.00)	0.899 (0.00)	0.636 (0.00)
Non-don firms	Founders	1.163 (0.00)	0.112 (0.00)	2.575 (0.00)	1.581 (0.00)
	Blood heirs	0.343 (0.01)	0.055 (0.00)	0.519 (0.00)	0.510 (0.00)
	Non-blood heirs	0.904 (0.00)	0.081 (0.01)	0.504 (0.11)	0.309 (0.28)
	Sarariman	0.052 (0.82)	-0.000 (1.00)	-0.106 (0.76)	-0.219 (0.38)
Blood heirs	Founders	0.820 (0.00)	0.057 (0.00)	2.056 (0.00)	1.071 (0.00)
	Non-blood heirs	0.560 (0.03)	0.025 (0.41)	-0.015 (0.97)	-0.241 (0.36)
	Sarariman	-0.291 (0.24)	-0.055 (0.03)	-0.625 (0.09)	-0.729 (0.01)
Non-blood heirs	Founders	0.259 (0.40)	0.031 (0.33)	2.071 (0.00)	1.312 (0.00)
	Sarariman	-0.851 (0.01)	-0.081 (0.03)	-0.610 (0.18)	-0.488 (0.15)
Sarariman	Founders	1.111 (0.00)	0.112 (0.00)	2.681 (0.00)	1.800 (0.00)

Smith and Amoako-Adu (2005) or Perez-Gonzalez (2006), which works against finding significant effects.
We define a succession event as a transfer of control

The dependent variable, $\Delta \pi_t$, is the firm's two-year mean performance (one of ROA, Q, sales growth, or labor growth) following the event year minus its two-year

Figure 5: Table 5: Pairwise regression comparisons of firm performance across control types.

Read:

- Relative to non-don firms, founder, blood-heir, and non-blood-heir firms all earn higher ROA, with coefficients of 1.163, 0.343, and 0.904, respectively.
- Relative to blood-heir firms, non-blood heirs have a 0.560 higher ROA, while sarariman firms underperform blood heirs in Q and labor growth.
- Relative to sarariman firms, founders dominate on every metric and non-blood heirs also post significantly better ROA and Q.

Economic message: The control ranking survives basic controls. Japan's family-firm advantage is not just "family versus market"; it is strongest when the family can choose a talented non-blood heir.

5.6 Table 6: Performance changes around succession events

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Table 6

Performance changes around succession events.

Events are all 425 old don departures from 1962 through in all Japanese firms initially listed on a major stock exchange between 1949 and 1970 that meet data availability constraints. Events are subdivided into 242 successions to a blood heir, 42 to a non-blood heir, 81 to a professional (sarariman) with the family remaining a top 10 blockholder, and 60 in which the family sells its shares and exits. Cross-section event-level regressions control for performance reversion with lagged performance two years prior to the succession, for old dons' ability with a dummy for a degree from a merit-admissions elite university, for old dons being over age 65 (the normal retirement age), and succession year and industry fixed effects. Dependent variables are changes in performance, defined as mean performance (ROA, Q ratio, sales growth, and labor growth) in the two years minus in the two years before the succession. Some firms have more than one succession event, so standard errors are clustered by firm. *P*-Values are provided in parentheses below the coefficient estimates. Bold-face represents significance at better than 5%.

Benchmark	Premium for	Δ ROA (%)	Δ Q	Δ Sales growth (%)	Δ Labor growth (%)
Non-blood heir	Blood heir	-2.23 (0.00)	0.0089 (0.82)	-5.25 (0.03)	-0.36 (0.78)
	Sarariman	-3.01 (0.00)	-0.0643 (0.18)	-2.52 (0.37)	-0.33 (0.84)
	Cash out	-1.80 (0.00)	0.0239 (0.67)	-3.89 (0.14)	0.29 (0.85)
Blood heir	Sarariman	-0.78 (0.05)	-0.0732 (0.05)	2.73 (0.14)	0.04 (0.97)
	Cash out	0.43 (0.34)	0.0150 (0.75)	1.36 (0.42)	0.66 (0.52)
Sarariman	Cash out	1.20 (0.02)	0.0881 (0.08)	-1.36 (0.54)	0.62 (0.62)

IQ with a dummy for a degree from an imperial university (Tokyo, Kyoto, Tohoku, Osaka, Kyushu, Hokkaido, or Nagoya) or Hitotsubashi University, which are widely thought to admit solely on academic merit (Takeuchi, 1997; Kerbo and McKinstry, 1995, p. 140), making their degrees reliable proxies for high intelligence. Alternate

Figure 6: Table 6: Event-study changes in profitability, Q, sales growth, and labor growth around succession events.

Read:

- Using non-blood heirs as the benchmark, blood-heir successions reduce ROA changes by 2.23 percentage points and sarariman successions by 3.01 percentage points.
- Using blood heirs as the benchmark, sarariman successions reduce ROA changes by 0.78 percentage points and Q by 0.0732.
- Using sarariman as the benchmark, family cash-out raises ROA by 1.20 percentage points and Q by 0.0881.

Economic message: Around actual succession events, non-blood heirs look best, blood heirs next, and professional managers running family firms worst. This is the paper's strongest causal-style evidence.

5.7 Figure 3: Profitability changes around successions

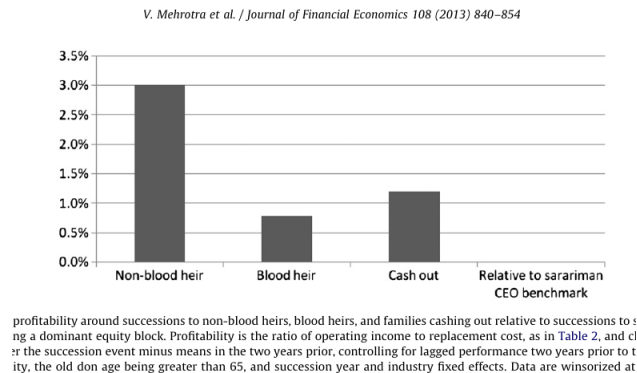


Figure 7: Figure 3: Change in profitability around succession, relative to the sarariman benchmark.

Read:

- ROA rises by about 3.0 percentage points after non-blood-heir successions relative to sarariman successions.
- The corresponding increase is about 0.8 percentage points for blood-heir successions and about 1.2 percentage points for family cash-out.

Economic message: The chart compresses the paper's core insight into one picture: family retention is not the problem; the type of successor is the problem. Chosen heirs dominate blood heirs, and both dominate professional managers retained under family blockholding.

6 Short summary

- The paper asks why inherited family control in Japan does not seem to carry the performance discount seen in many other developed economies.
- Its answer is institutional: Japanese business families can adopt adult sons or sons-in-law and thereby import talent while preserving family control.
- Using a near-population panel of listed firms from 1962 to 2000, the paper shows that family control remains common in postwar Japan.
- Founder firms perform best, and among heir-run firms, non-blood heirs outperform blood heirs.
- Blood-heir firms still generally outperform professionally run family firms and non-family firms.
- Succession-event evidence strengthens the causal story: profitability rises most after non-blood-heir successions and least after family firms hand control to professional CEOs.
- The results survive many robustness checks, including alternative successor coding, alternative variable definitions, placeholder-CEO treatments, risk comparisons, and an instrumented successor-type design.
- The broader implication is that Japan's succession institutions partly professionalize family capitalism and thereby weaken the usual inherited-control discount.

7 Conclusion

7.1 Core conclusion

Mehrotra, Morck, Shim, and Wiwattanakantang show that inherited control in Japan looks unusually successful because Japanese business families can choose heirs more flexibly than business families elsewhere. Non-blood heirs - adopted sons and sons-in-law - are associated with the strongest performance among heir-run firms, and succession events suggest that this is not merely a selection artifact.

7.2 Economic intuition

The paper's economic intuition is simple. Family control is often costly because blood ties restrict the successor pool. Japan's adult-adoption institution widens that pool. Once a family can replace a weak biological son with a capable outsider-turned-son, family control no longer means automatic inheritance by the least bad blood descendant. That improves selection, sharpens incentives for blood heirs, and creates a tournament prize for ambitious managers.

7.3 Takeaway

The paper does not imply that family firms everywhere are efficient. It implies something more specific and more interesting: the performance of inherited control depends heavily on the institutions that govern succession. Japan's unusual succession technology lets family firms combine dynastic ownership with meritocratic heir selection.

7.4 Final summary

- **Empirical question:** Are inherited family firms always inefficient? In Japan, not necessarily.
- **Key institutional variable:** adult adoption and arranged marriage into business families.
- **Key empirical ranking:** founder > non-blood heir > blood heir > sarariman / non-don.
- **Best causal evidence:** event-study profitability changes around succession.
- **Main conceptual payoff:** inherited control can perform well when families can choose heirs on ability rather than on blood alone.